

Debt Ratio Analysis

*A comparative leverage, coverage and cost-of-debt review of the U.S.
U.S. telecom & cable peer group*

EXECUTIVE SUMMARY

Five levered peers, one clear outlier

Charter is the highest-risk credit in the group

Debt/Equity of 6.2x (vs. a 1.5x benchmark), Debt/Revenue of 1.8x and the thinnest interest cover (2.63x) all point the same way.

Verizon and AT&T carry the largest debt loads

Averaging \$171.6bn and \$167.7bn (2020–25), but their leverage ratios sit close to the peer average, not at the extreme.

Every name still clears the coverage threshold

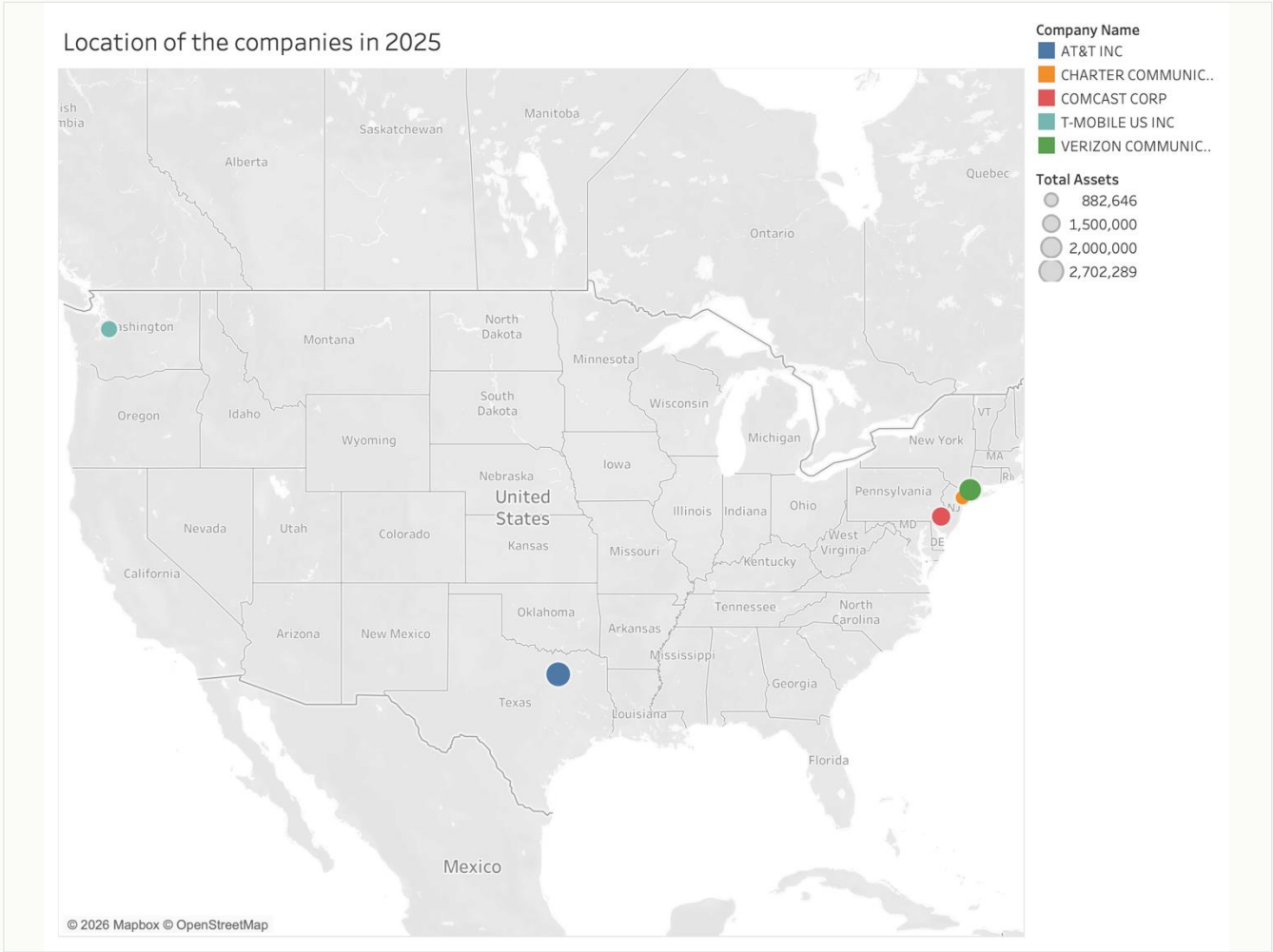
All five names hold a 2025 interest coverage ratio above the 2.0x benchmark; T-Mobile (5.15x) and Comcast (4.80x) have the widest cushion.

T-Mobile is the improving credit story

Debt/EBITDA fell from 11.6x (2020) to 6.2x (2025) and its cost of debt (3.12%) is now the lowest in the peer set.

SCOPE OF THE ANALYSIS

Five U.S. telecom & cable operators, FY2020–2025



Peer set

AT&T (TX), Charter Communications (CT), Comcast (PA), T-Mobile US (WA), Verizon Communications (NY)

Period

Fiscal years 2020 through 2025, six annual data points per company

Scale

Total assets across the peer set span roughly \$883bn to \$2.7tn — marker size on the map is proportional to total assets

Reading the map

Verizon and AT&T are the largest asset bases in the group; Charter and T-Mobile are the smallest — a scale difference worth keeping in mind when comparing absolute debt figures

Charter runs the thinnest equity cushion



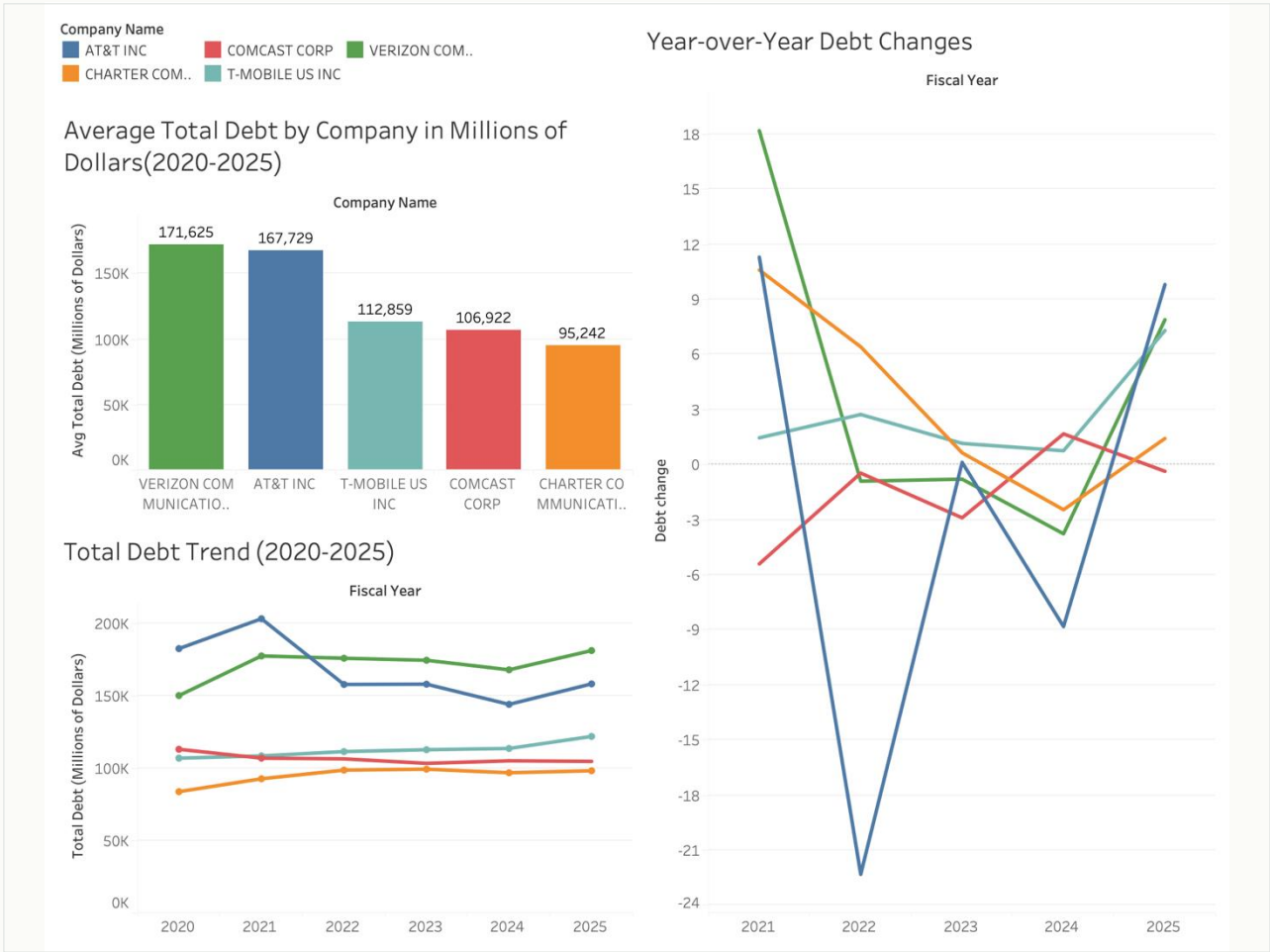
Equity cushion (top row)

Comcast (33.5%) and T-Mobile (31.2%) hold the largest equity share of the balance sheet; Charter (13.1%) the smallest — liabilities fund 86.9% of its balance sheet.

Debt vs. other liabilities (bottom row)

Of total liabilities, debt makes up 78.5% at T-Mobile and 74.5% at Charter, but only 53.9% at AT&T — AT&T carries relatively more non-debt liabilities (pension, leases, deferred items).

AT&T deleveraged; Charter and T-Mobile kept borrowing



Verizon (\$171.6bn average) and AT&T (\$167.7bn) carry close to twice the debt load of Comcast (\$106.9bn) and Charter (\$95.2bn) — but the two heaviest borrowers have moved in opposite directions since 2020.

AT&T cut its debt by roughly 22% in a single year, from a \$203bn peak in 2021 to \$158bn in 2022, as it deleveraged around the WarnerMedia spin-off. Charter and T-Mobile took the opposite path, borrowing steadily higher every year over the period.

By 2025 that divergence narrows: for the first time in the six-year window, all five companies add debt in the same year.

On every leverage lens, Charter is the outlier



Debt/Equity — benchmark 1.5x

Charter spiked to 10.9x in 2022 (debt-funded buybacks against a small equity base) and still sits at 6.2x in 2025. The other four cluster tightly between 1.1x and 1.9x.

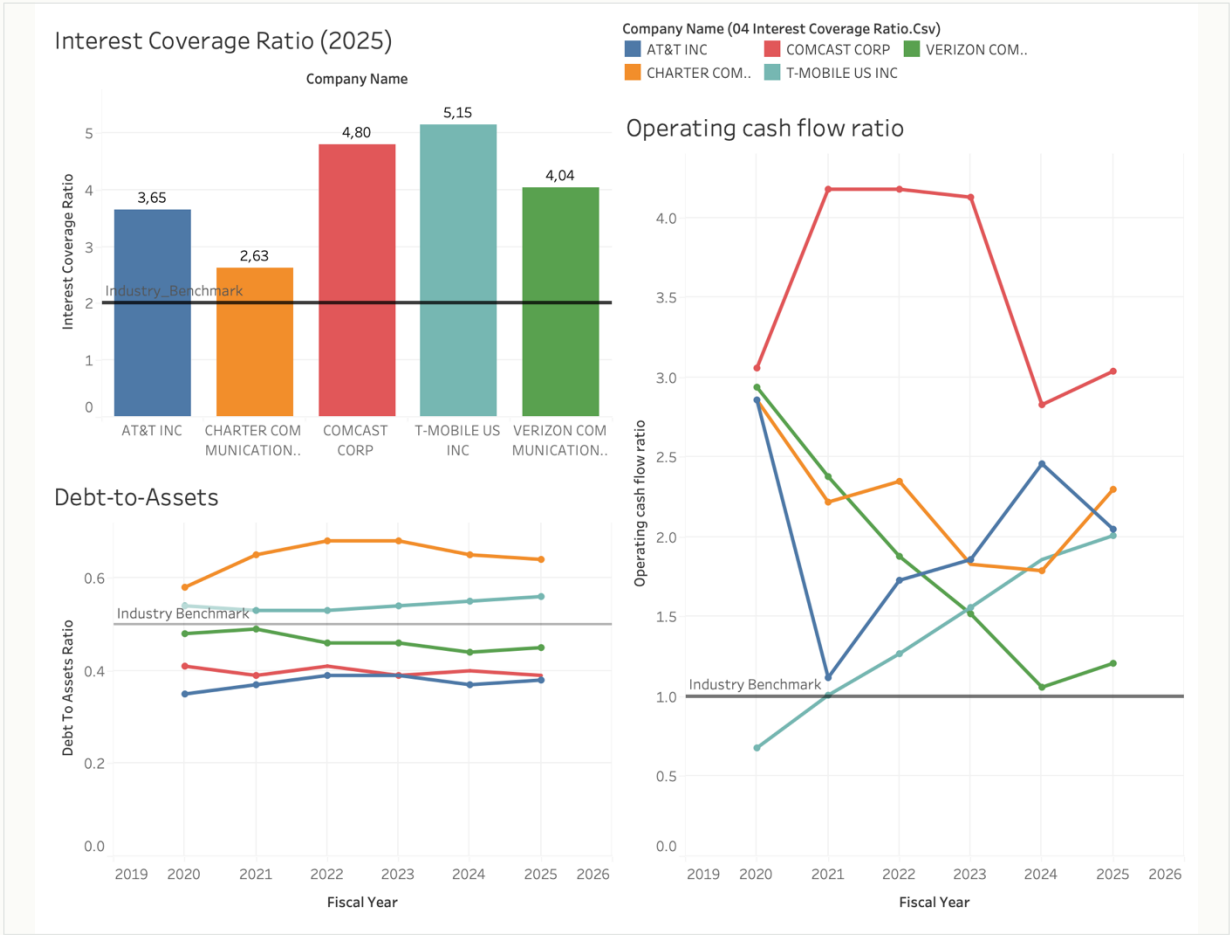
Debt/Revenue — benchmark 1.0x

Charter runs persistently near 1.8x. Comcast is the only name that stays below the 1.0x benchmark throughout 2020–2025.

Debt/EBITDA — benchmark 3.5x

Every peer sits above the 3.5x benchmark. T-Mobile's improvement is the standout, from 11.6x (2020) to 6.2x (2025); Charter remains the highest at 7.4x.

All five still cover their interest bill



Interest coverage — benchmark 2.0x

T-Mobile (5.15x) and Comcast (4.80x) have the widest cushion in 2025; Charter (2.63x) the thinnest, though still above the benchmark.

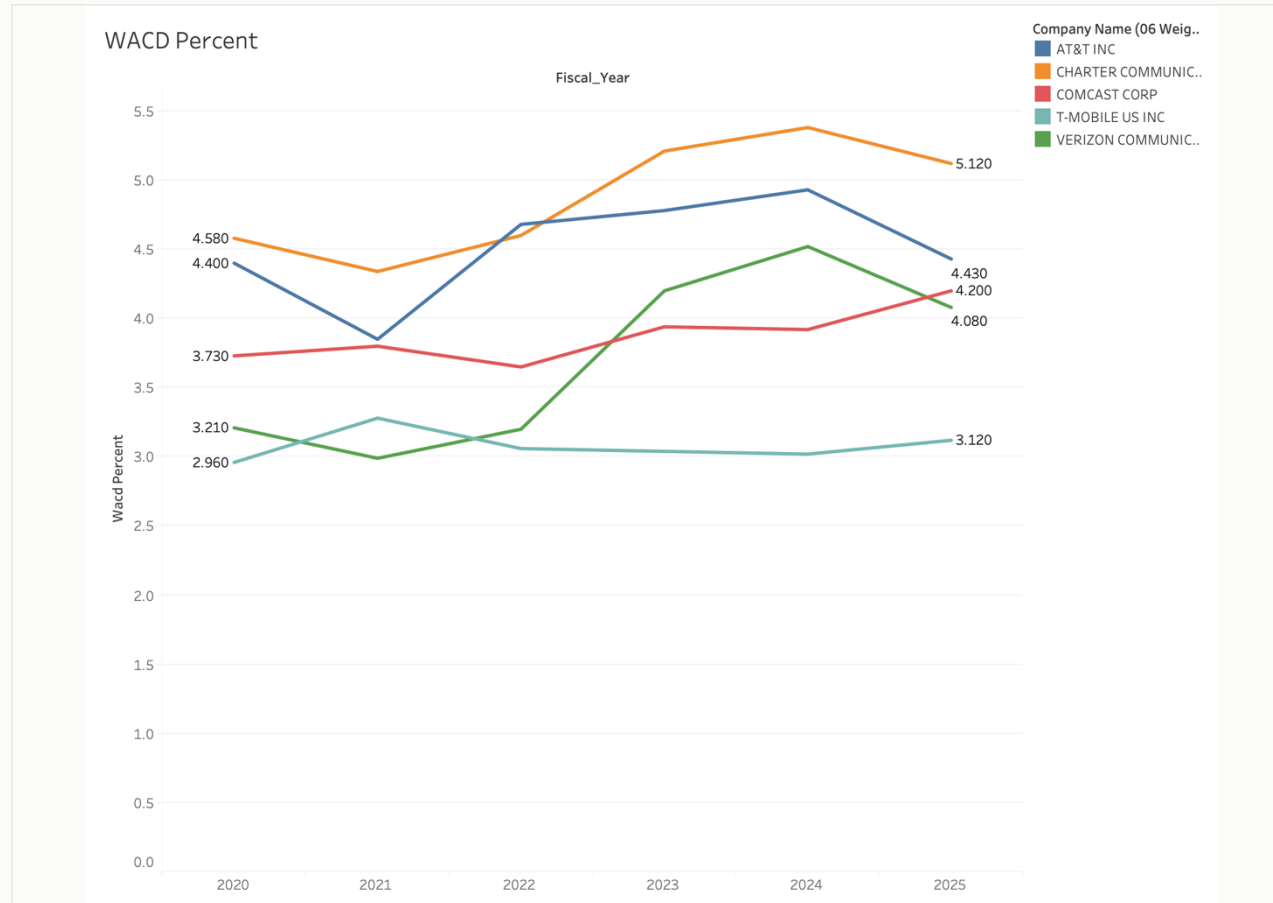
Debt/Assets — benchmark 0.5x

Charter (~0.65) and T-Mobile (~0.56) finance more than half their balance sheet with debt; AT&T and Comcast stay the most conservative, near 0.38–0.39.

Operating cash flow ratio — benchmark 1.0x

Comcast has run the strongest liquidity cushion since 2021; T-Mobile only crossed the 1.0x benchmark from 2021 onward as post-merger cash generation ramped up.

Financing got more expensive for everyone — Charter most of all



What WACD measures

The weighted average cost of debt is the blended interest rate a company pays across all of its outstanding borrowings — a rising line means refinancing is getting more expensive.

Charter pays the most for its debt

5.12% in 2025, up from 4.58% in 2020 — a premium of roughly 2.0 percentage points over T-Mobile, consistent with its weaker leverage and coverage profile.

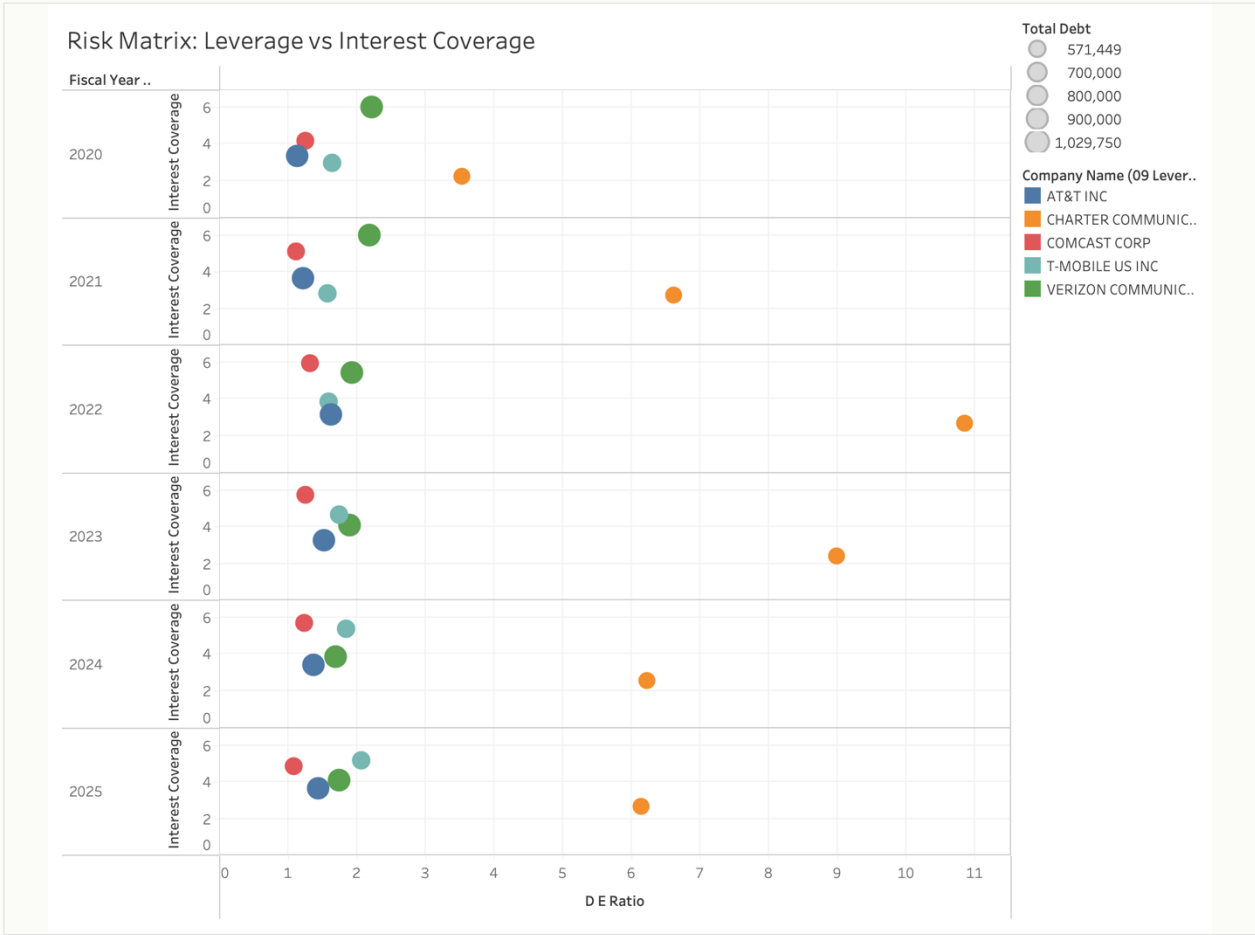
T-Mobile funds the cheapest

3.12% in 2025, the lowest in the peer set every year of the period — the market reward for its improving Debt/EBITDA trend.

AT&T is flat despite deleveraging

4.40% → 4.43%: rate-driven cost pressure roughly offset the benefit of a smaller debt balance.

Leverage vs. interest coverage, by year



How to read it

Each panel is one fiscal year. X-axis: Debt/Equity (higher = more levered). Y-axis: interest coverage (higher = safer). Bubble size: total debt outstanding.

Charter occupies its own quadrant, every year

Far right on leverage, consistently near the bottom on coverage — the only name that never moves into the cluster the other four share.

AT&T's 2022 shift

The debt paydown pulls its bubble left (lower leverage) without giving up coverage — a visible, favorable move on the grid.

CONCLUSIONS & RECOMMENDATIONS

Where the credit risk actually sits

Highest risk

Charter Communications tops every leverage metric (D/E, D/Revenue, D/EBITDA), holds the thinnest interest-coverage buffer and pays the highest cost of debt — it warrants the closest ongoing monitoring and the highest risk premium of the five.

Lowest risk

Comcast is the most conservatively financed name: lowest Debt/Assets, strongest operating cash flow ratio, and the only peer consistently below the Debt/Revenue benchmark.

Improving

T-Mobile has cut its Debt/EBITDA nearly in half since 2020 while lowering its cost of debt to the lowest in the group — the clearest positive trajectory in the peer set.